Anaheim and Garden Grove Travel Forecast



Prepared by:

TOURISM ECONOMICS
AN OXFORD ECONOMICS COMPANY

Context

- Visit Anaheim engaged Tourism Economics, an Oxford Economics company, to prepare annual forecasts of visitor volumes and spending for both Anaheim and Garden Grove, quarterly measurements of visits and spending in each city, and projections of international visitation and spending by key source markets.
- The analysis relies on:
    - Data regarding historic visitor volume and spending from Visit Anaheim;
    - STR hotel data through April 2026;
    - Global Travel Service (GTS) forecast, March 2026 update;
    - Global City Travel (GCT) forecast, April 2026 update;
    - Price, employment, and wage data, by industry, from the Bureau of Economic Analysis and Bureau of Labor Statistics;
    - Air passenger data for John Wayne Airport from OAG;
    - Azira mobile geolocation data for Anaheim and Garden Grove;
    - Local economic outlook, including GDP, personal disposable income, unemployment, population, and household income from Oxford Economics; and,
    - Assumptions on the future path of tourism sector recovery
- Due to standard forecast variability, future performance may vary from the estimates presented in this forecast.

1 Key Findings

2 US Economic Outlook

3 Anaheim Forecast Details

4 Garden Grove Forecast Details

5 International Forecast Details

Key Findings - Anaheim

Total visitor volume

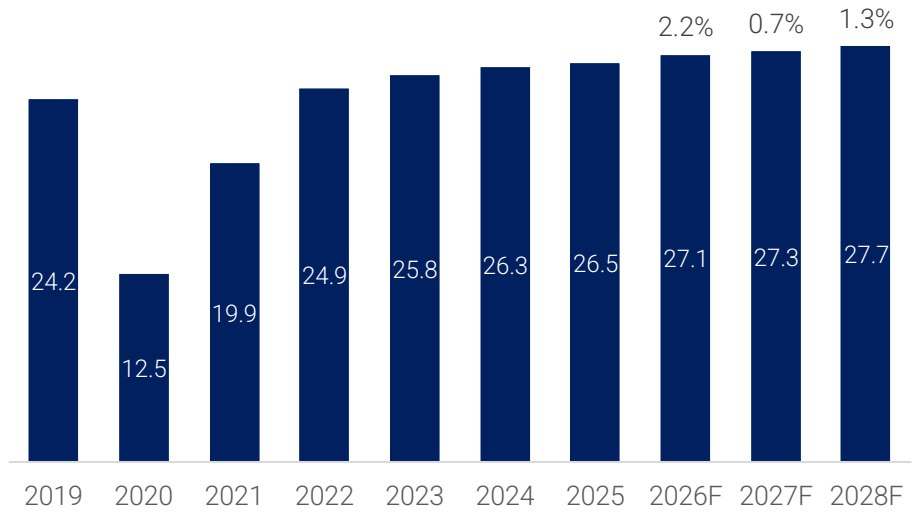
Our forecast anticipates 27.1 million visitors in Anaheim in 2026, a 2.2% increase over the previous year.

Total visitor spending

Visitor spending in Anaheim is expected to grow 5.9% in 2026 to reach $7.2 billion.

Total visits to Anaheim

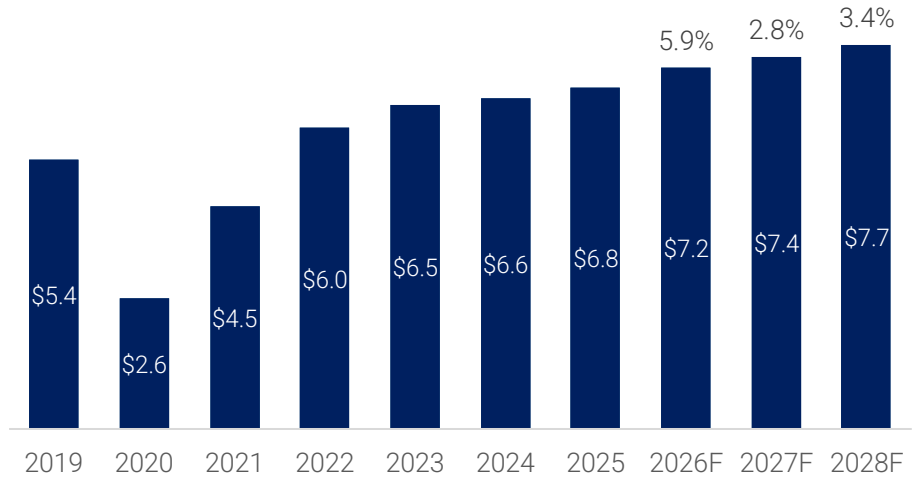
millions



Source: Tourism Economics

Total visitor spending in Anaheim

$ billions



Source: Tourism Economics

Key Findings – Garden Grove

Total visitor volume

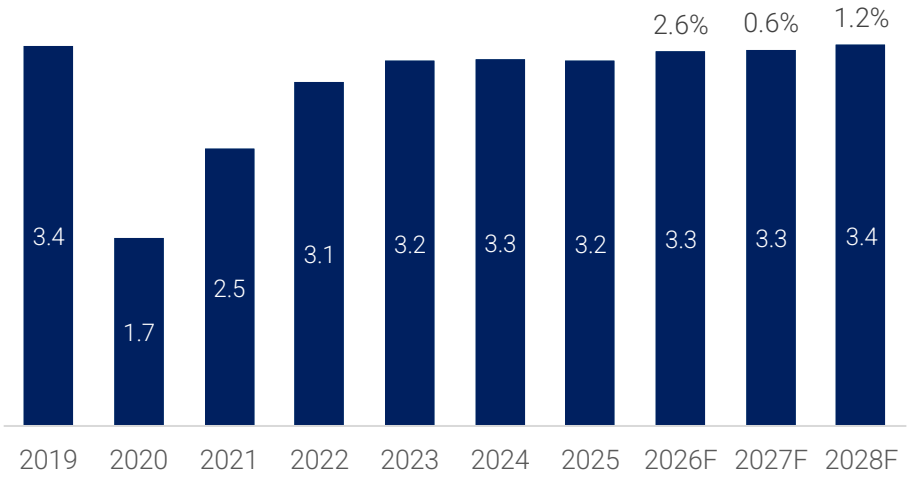
Garden Grove is projected to welcome 3.3 million visitors in 2026, up 2.6% from the prior year.

Total visitor spending

Visitor spending in Garden Grove is forecast to reach $809 million in 2026, a 5.4% increase over the previous year.

Total visits to Garden Grove

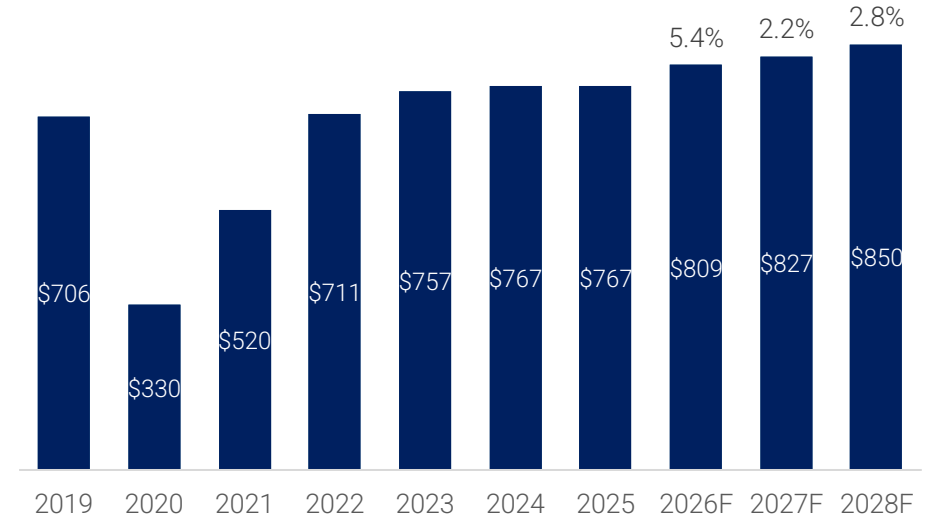
millions



Source: Tourism Economics

Total visitor spending in Garden Grove

$ millions



Source: Tourism Economics

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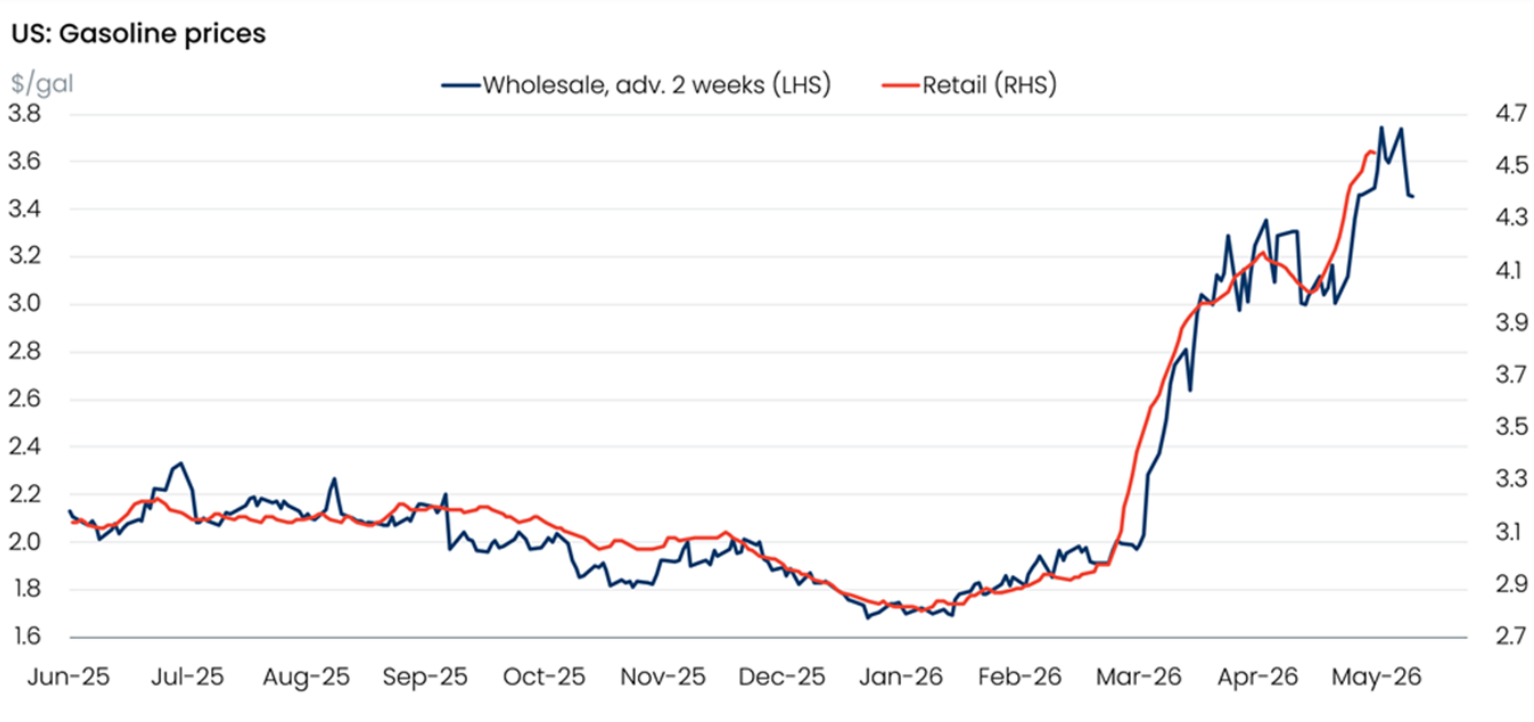
5 International Forecast Details

US Economy

- As 2026 began, economic growth in the US was expected to gain some momentum from fiscal stimulus, fading effects of tariffs, and reduced uncertainty. However, the prolonged conflict in Iran is a counterweight to the positive tailwinds that were building at the beginning of the year. Note: Economic assumptions are based on Oxford Economics' May 2026 US Outlook.
- The forecast for real US GDP growth this year has been revised down to 2.1% from 2.8% at the start of the year. The hit to the consumer, the lifeblood of the economy, is the primary driver of the downward revision. We now expect real consumer spending to rise by 1.9% this year instead of 2.4%.
    - Consumers are likely to cut back on other purchases and draw down savings to sustain spending. But with personal savings rates already at historically low levels, those buffers are thin.
- Headline inflation rose sharply in recent months, mostly due to gasoline prices, and inflation will remain stronger as the disruption pushes up transportation costs, food prices, and other items. We expect headline CPI to average 3.4% in 2026, up 0.8 percentage points from our pre-war February baseline.
- The surge in gas prices is hitting close to the peak of tax refund season. Tax provisions in last year's bill generated an increase in refund payments this year estimated at more than $60bn. That influx provided temporary support to consumer spending and is now waning as tax season ends, even as gas prices remain elevated.
- The pain from higher gas prices affects lower- and middle-income consumers the most. The bottom 80% of households by income spend close to 4% of their budget on gasoline, while higher-income consumers spend significantly less. Knock-on impacts on food prices would disproportionately burden lower-income households, deepening the bifurcation of the consumer that we've seen over the past several years.
- Business investment will take a hit outside of the AI and mining sectors, where spending momentum remains intact. The near-term tailwind from the One Big Beautiful Bill Act will be blunted as firms delay decisions until the outlook clears.
- We think any geopolitically driven weakness in the labor market will largely manifest itself via lower hiring by firms, who will become more uncertain about the economic outlook, let alone the future price of oil – a key input of production for many. Consequently, we expect the unemployment rate to remain stuck at 4.4%-4.5% through the rest of this year.

US Economy

Conflict in Iran sends gas prices soaring



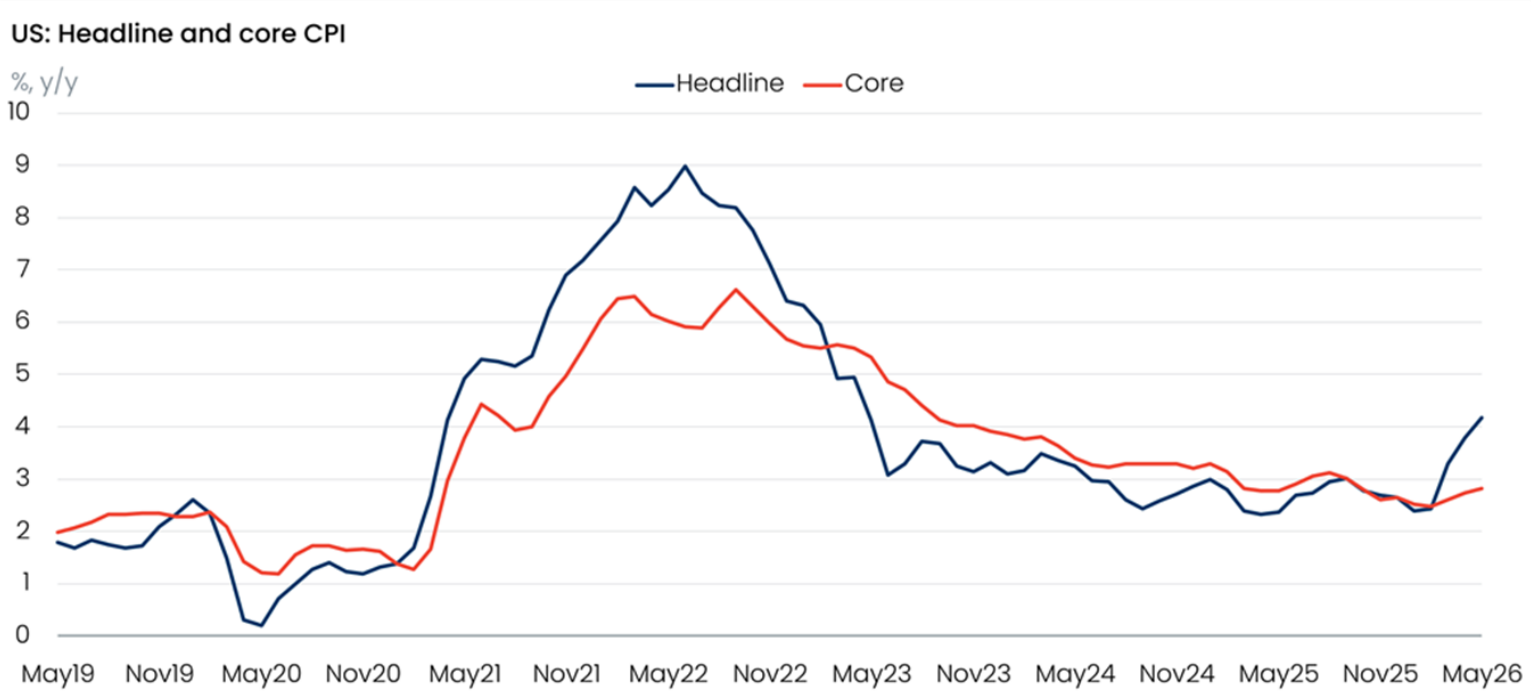
The war with Iran will mainly affect the US economy through higher global oil prices.

The US average price per gallon is more than 40% higher than the same time last year.

Source: Oxford Economics, Haver Analytics

US Economy

Higher gas prices lift inflation

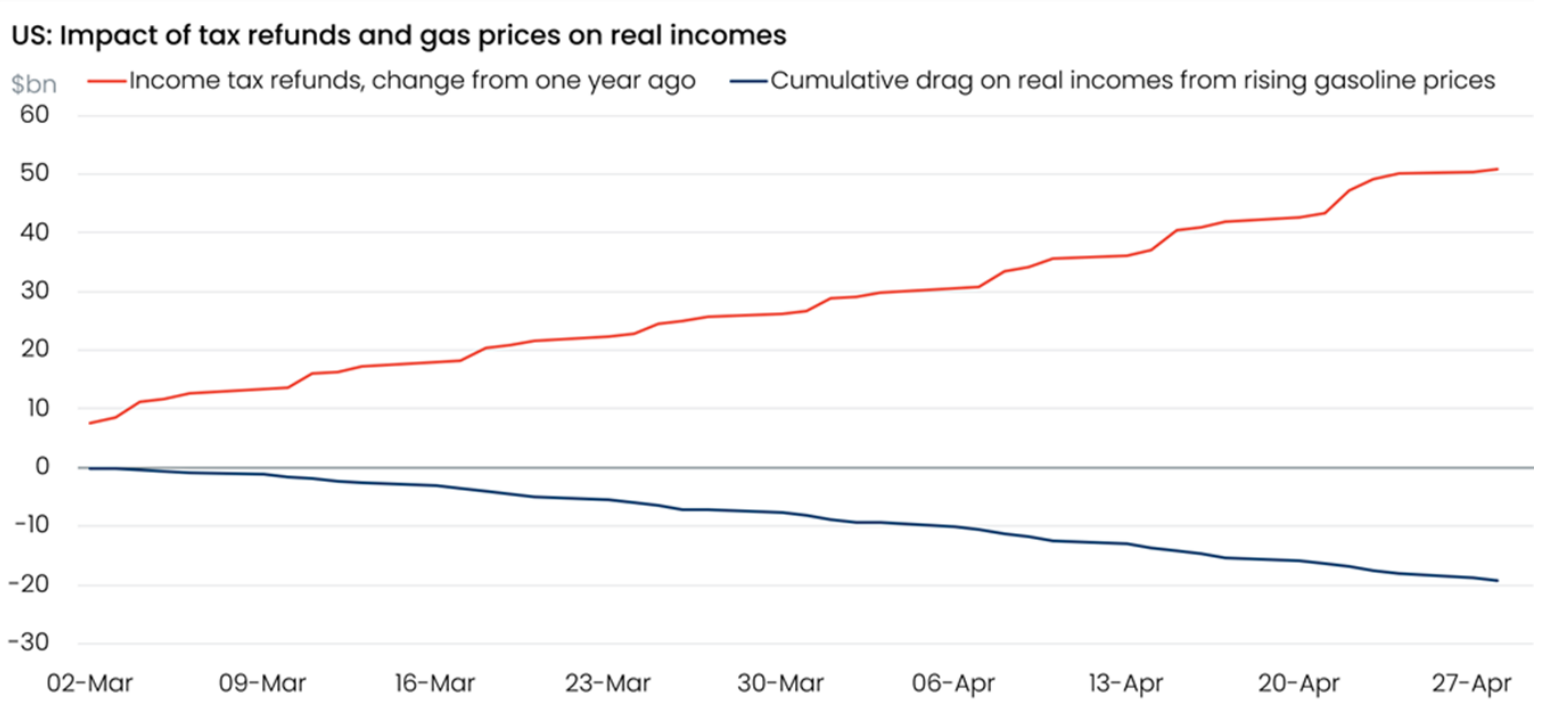


Headline inflation rose 4.2% in May, the largest increase in more than 3 years.

Source: Oxford Economics, Haver Analytics

US Economy

Tax returns temporarily offset higher gas prices

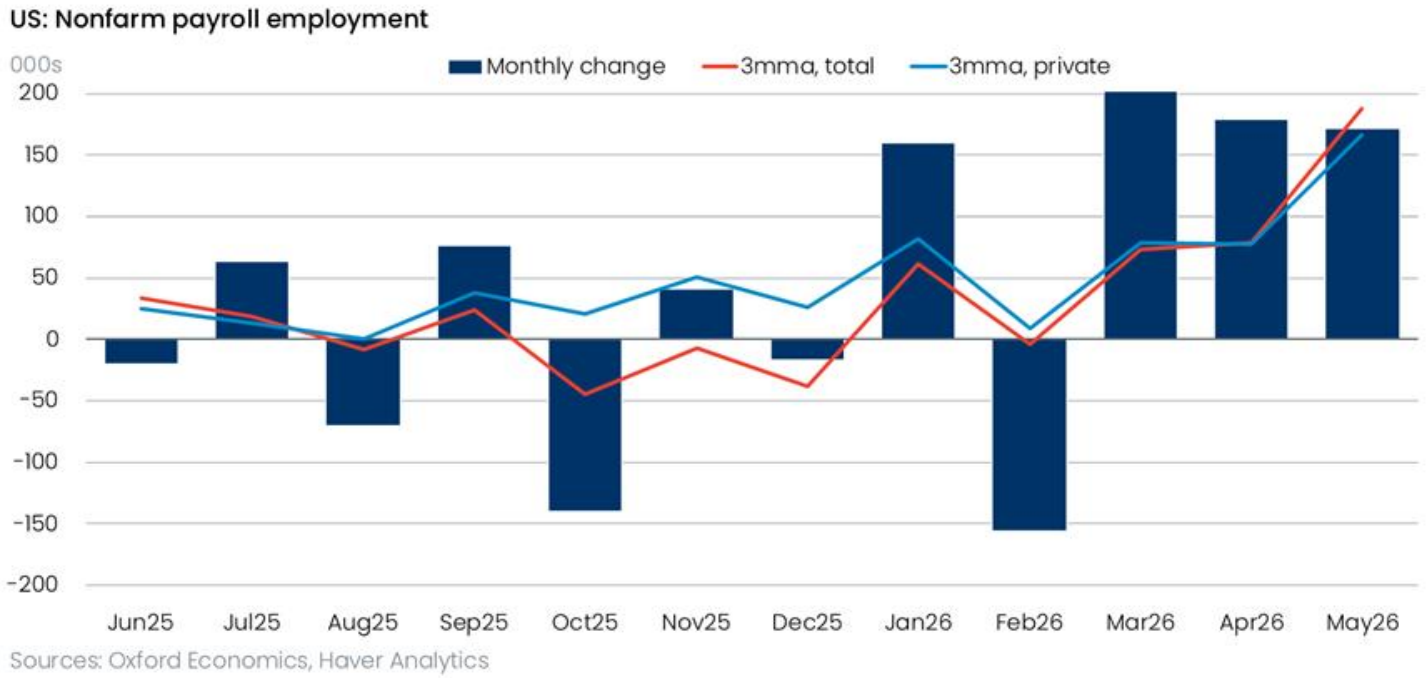


With tax refund season winding down and gas prices still elevated, the hit to consumer spending will become more evident from May.

Source: Oxford Economics, Haver Analytics

US Economy

Trend job growth remains well-above breakeven threshold



Payroll growth suggests stable to improving labor market conditions despite the ongoing war with Iran.

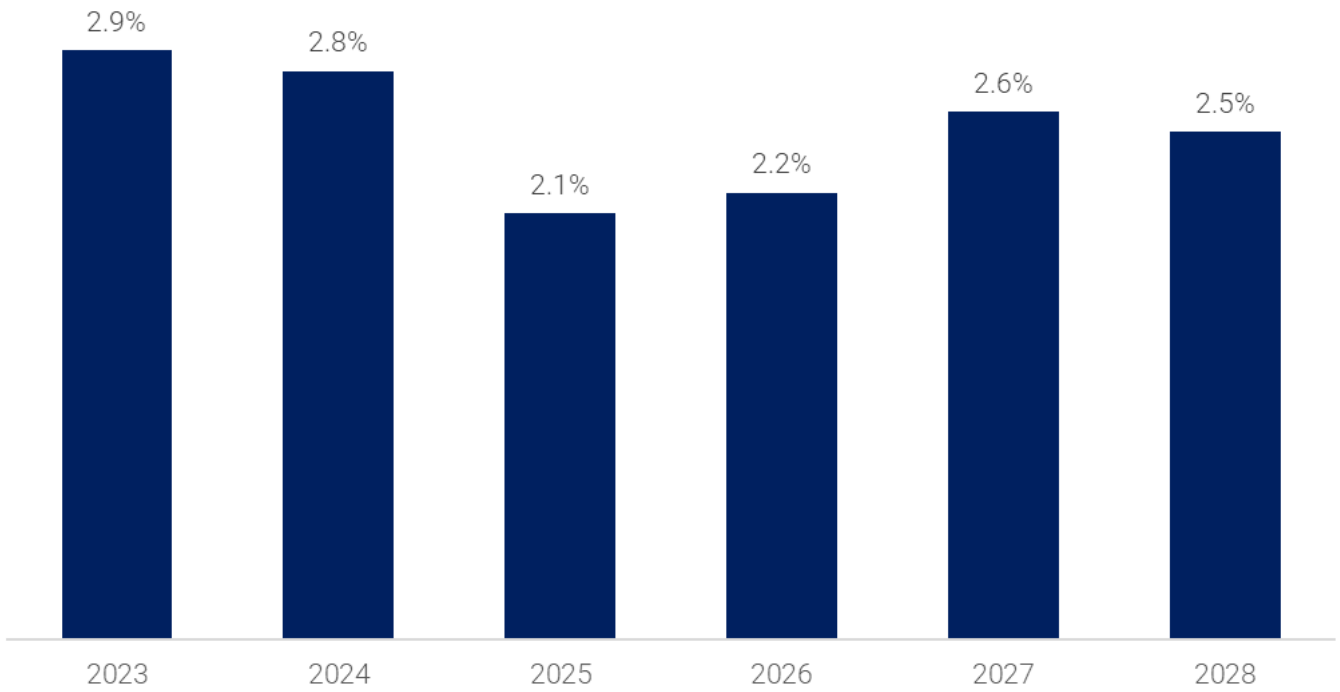
Source: Oxford Economics, Haver Analytics

US Economy

No pick-up in GDP growth in 2026

US Real GDP

Annualized Growth Rate



Source: Oxford Economics

Key risks to watch, aside from gas prices, include:

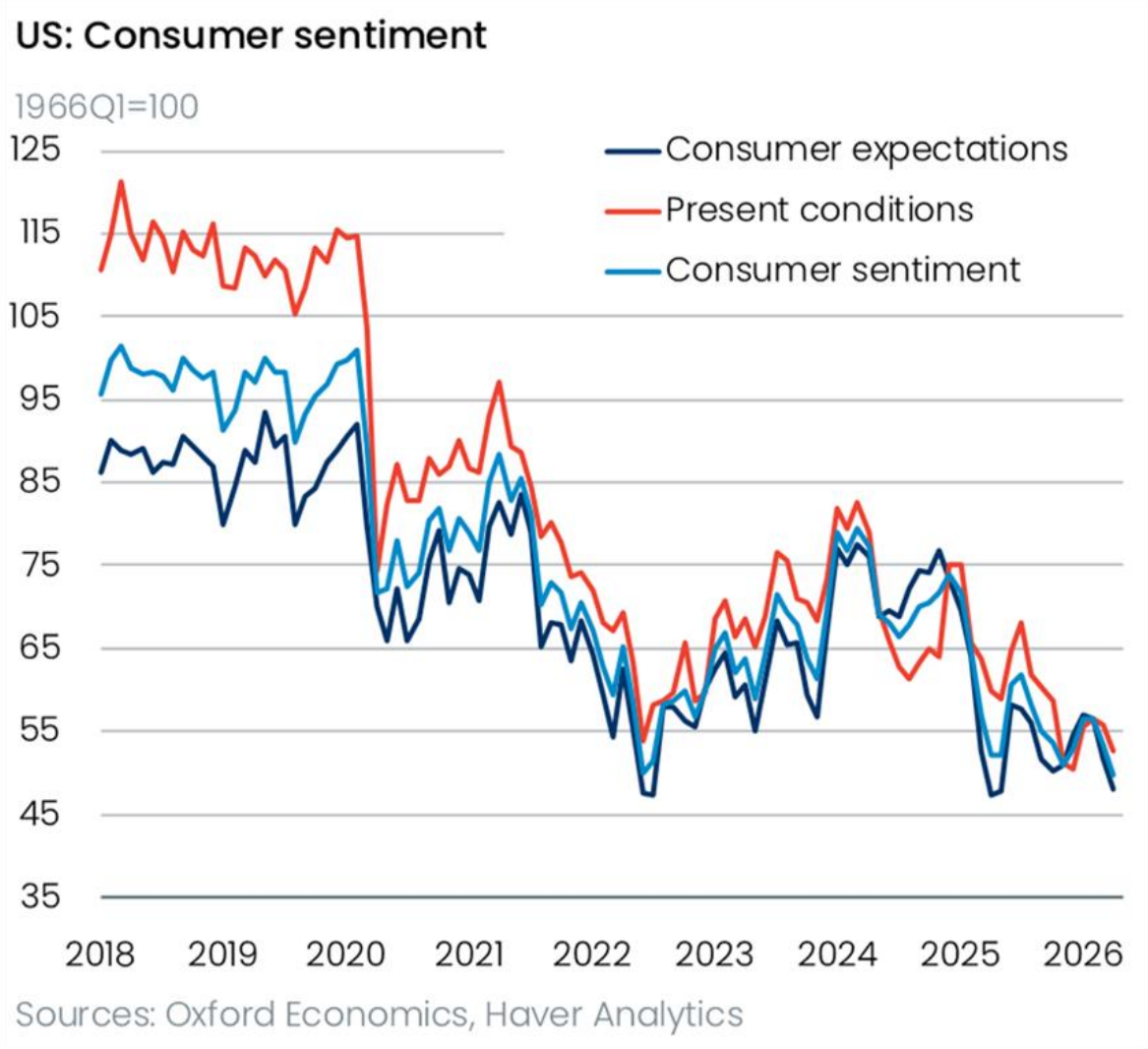
- a severe correction in equity markets, which could undermine spending from higher-income households
- a pickup in layoffs, which would be the catalyst for a more serious weakening in the economy

Potential Triggers:

- Prolonged Iran conflict
- Reignited trade war
- Tech downturn

US Economy

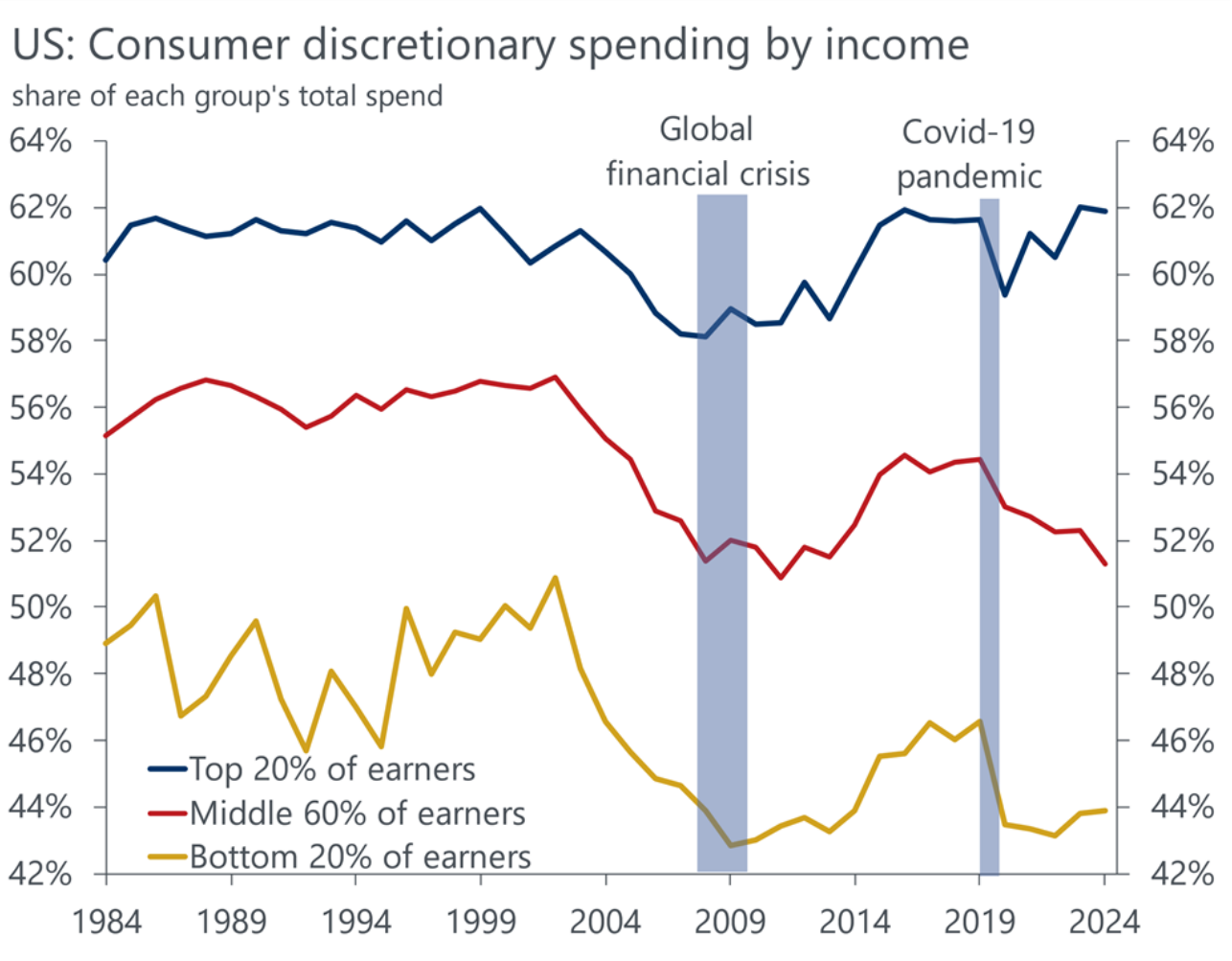
Consumer sentiment drops to the lowest level ever



Correlation between sentiment and spending has weakened in recent years as spending has been supported by pandemic-era stimulus, wealth effects, and, more recently, larger-than-usual tax refunds.

US Economy

Higher prices for essentials have kept discretionary spending from recovering



Upper 20% directing almost two-thirds of spending to discretionary items.

Share of income allocated to discretionary spending by middle and lower-income households is lower than pre-pandemic.

Source: Oxford Economics, Haver Analytics

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Anaheim Quarterly Trends

Visitor volume to Anaheim increased 3.1% year-over-year in the first quarter of 2026, reaching 6.31 million visitors. Overnight visitation drove growth, rising 5.0% from year-earlier levels, while day visitation posted a more modest 2.2% increase.

Strong visitation growth, combined with continued price increases, pushed visitor spending to $1.72 billion in the first quarter of 2026, up 7.1% year-over-year. Higher lodging costs were a key driver, as average daily room rates (ADR) climbed more than 5% compared with the first quarter of 2025.

Total visitors to Anaheim

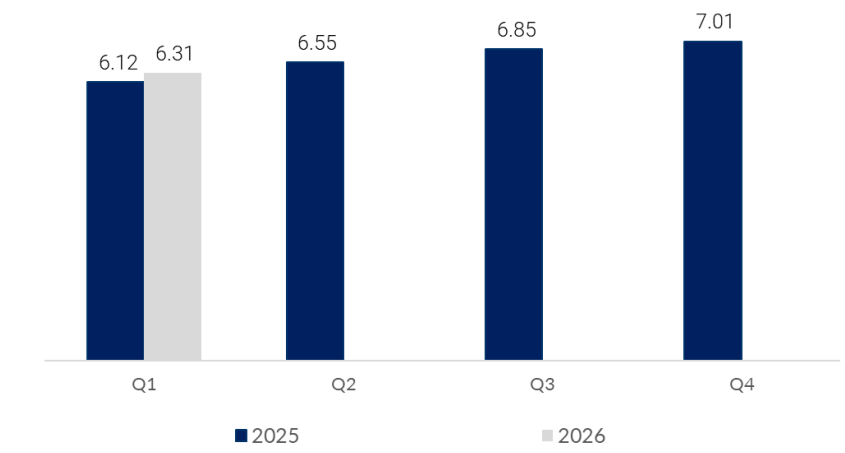
millions

	2025 Q1	Q2	Q3	Q4	2026 Q1	Q2	Q3	Q4
Total visits	**6.12**	**6.55**	**6.85**	**7.01**	**6.31**			
Day	4.08	4.44	4.64	4.75	4.17			
Overnight	2.04	2.11	2.21	2.26	2.14			
Total travel spending ($ billions)	**$1.61**	**$1.63**	**$1.71**	**$1.87**	**$1.72**			

Source: Tourism Economics

Anaheim Quarterly Visitor Volume

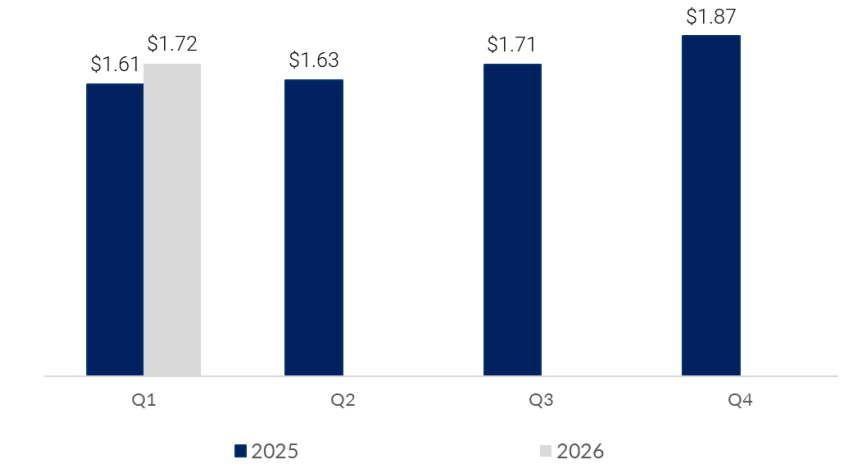
millions



Source: Tourism Economics

Anaheim Quarterly Visitor Spending

$ billions



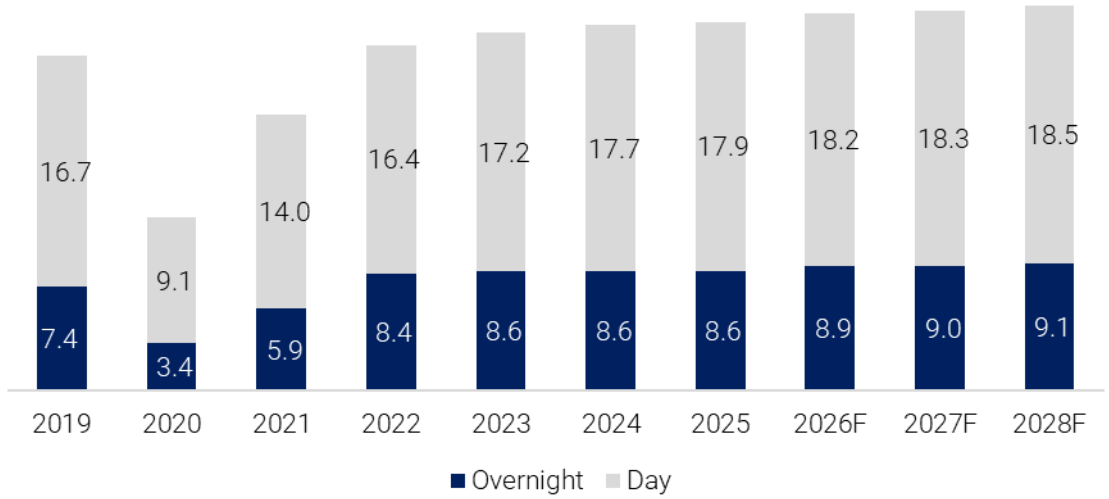
Source: Tourism Economics

Anaheim Visitor Forecast

- Visitor volume will climb to 27.7 million by 2028, growing 1.4% annually, on average, from 2026-2028.
- Overnight visitation will lead growth over this period, averaging 2.0% annual gains over the forecast period.

Day vs. overnight visitors in Anaheim

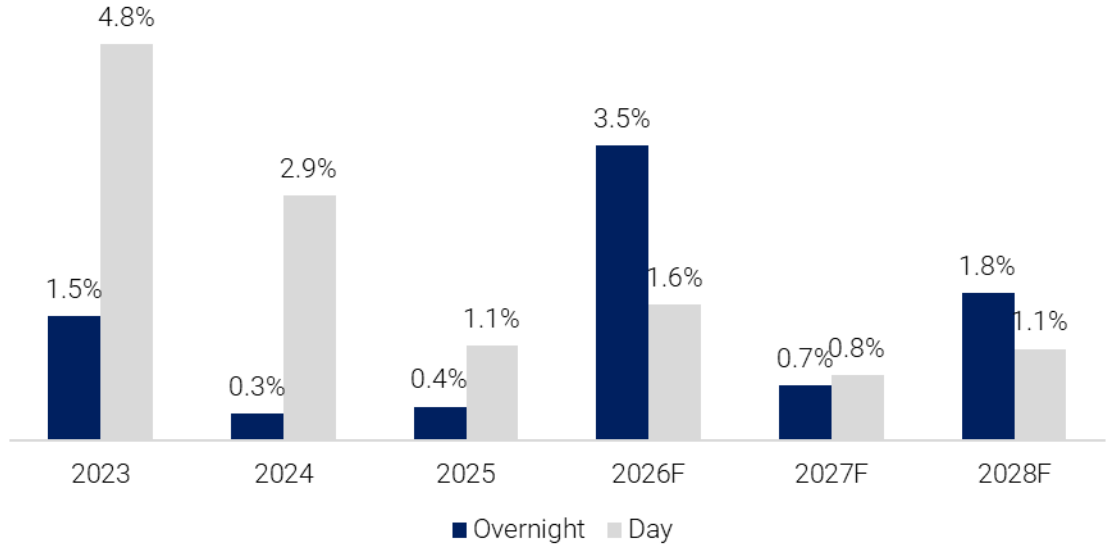
millions



Source: Tourism Economics

Percentage change in visitors to Anaheim

year-over-year percent change



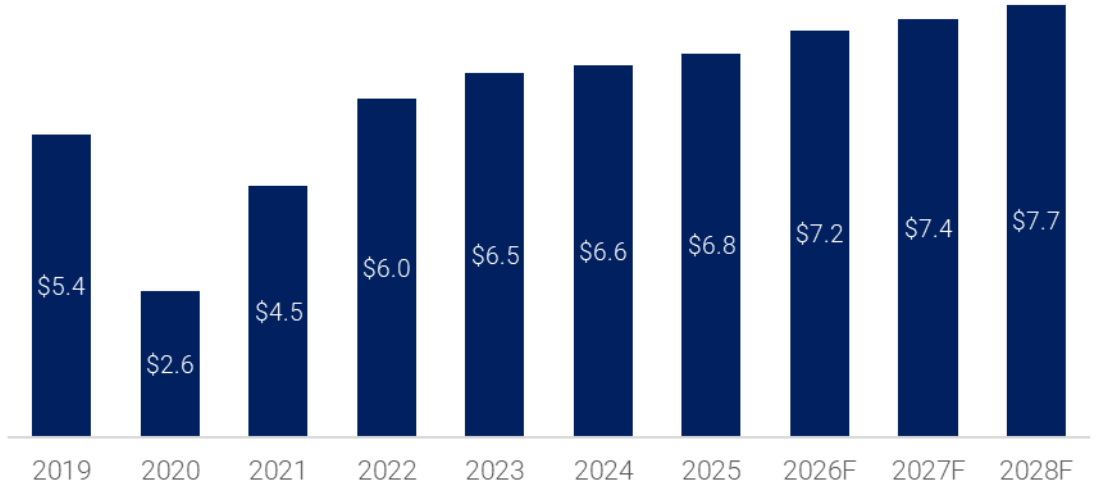
Source: Tourism Economics

Anaheim Visitor Spending Forecast

- Visitor spending will average 4.0% growth annually over the forecast period, reaching $7.7 billion in 2028.

Total visitor spending in Anaheim

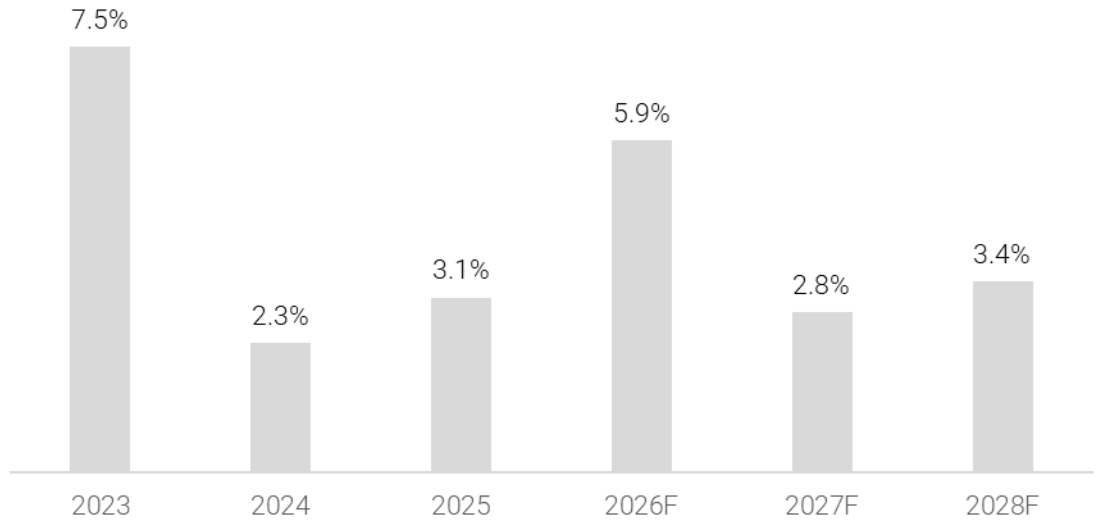
$ billions



Source: Tourism Economics

Percentage change in visitor spending in Anaheim

year-over-year percent change



Source: Tourism Economics

Anaheim Visitor Forecast

Total visitors to Anaheim

millions

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Total visits	**24.2**	**12.5**	**19.9**	**24.9**	**25.8**	**26.3**	**26.5**	**27.1**	**27.3**	**27.7**
Day	16.7	9.1	14.0	16.4	17.2	17.7	17.9	18.2	18.3	18.5
Overnight	7.4	3.4	5.9	8.4	8.6	8.6	8.6	8.9	9.0	9.1
Total travel spending ($ billions)	**$5.4**	**$2.6**	**$4.5**	**$6.0**	**$6.5**	**$6.6**	**$6.8**	**$7.2**	**$7.4**	**$7.7**

Source: Tourism Economics

Total visitors to Anaheim

year-over-year percent change

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Total visits		**-48.3%**	**59.2%**	**25.0%**	**3.6%**	**2.1%**	**0.9%**	**2.2%**	**0.7%**	**1.3%**
Day		-45.5%	53.6%	17.3%	4.8%	2.9%	1.1%	1.6%	0.8%	1.1%
Overnight		-54.5%	74.2%	43.1%	1.5%	0.3%	0.4%	3.5%	0.7%	1.8%
Total travel spending		**-51.6%**	**71.6%**	**34.8%**	**7.5%**	**2.3%**	**3.1%**	**5.9%**	**2.8%**	**3.4%**

Source: Tourism Economics

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Garden Grove Quarterly Trends

Visitor activity in Garden Grove was strong in the first quarter of 2026, with total visitation rising 4.4% year-over-year to 783,000 visitors. Growth was driven primarily by the overnight segment, which expanded nearly 7%, while day visitation increased at a steadier 2.5% pace.

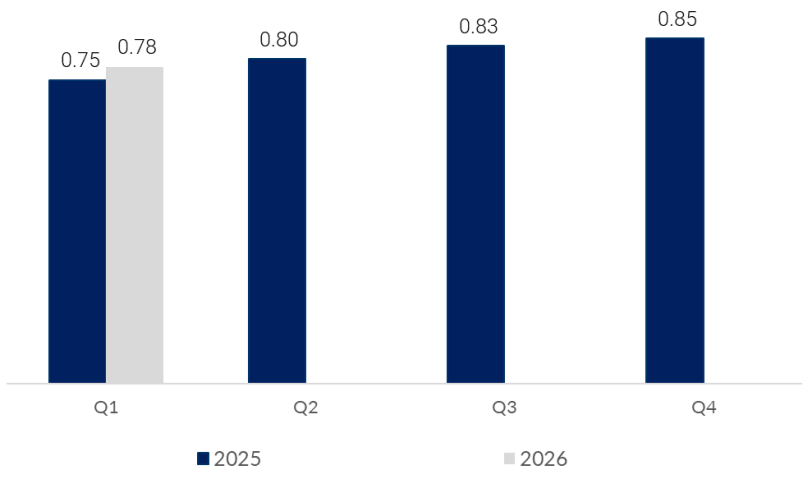
Visitor spending reached $198.2 million in the first quarter, representing a 6.8% increase from a year earlier. Higher travel prices continued to support spending growth, with ongoing gains in average daily room rates (ADR) providing an additional boost.

Total visitors to Garden Grove
millions

	2025 Q1	Q2	Q3	Q4	2026 Q1	Q2	Q3	Q4
Total visits	**0.75**	**0.80**	**0.83**	**0.85**	**0.78**			
Day	0.41	0.45	0.47	0.48	0.42			
Overnight	0.34	0.35	0.37	0.37	0.37			
Total travel spending ($ millions)	**$185.6**	**$187.1**	**$195.4**	**$199.4**	**$198.2**			

Source: Tourism Economics

Garden Grove Quarterly Visitor Volume
millions



Source: Tourism Economics

Garden Grove Quarterly Visitor Spending
$ millions



Source: Tourism Economics

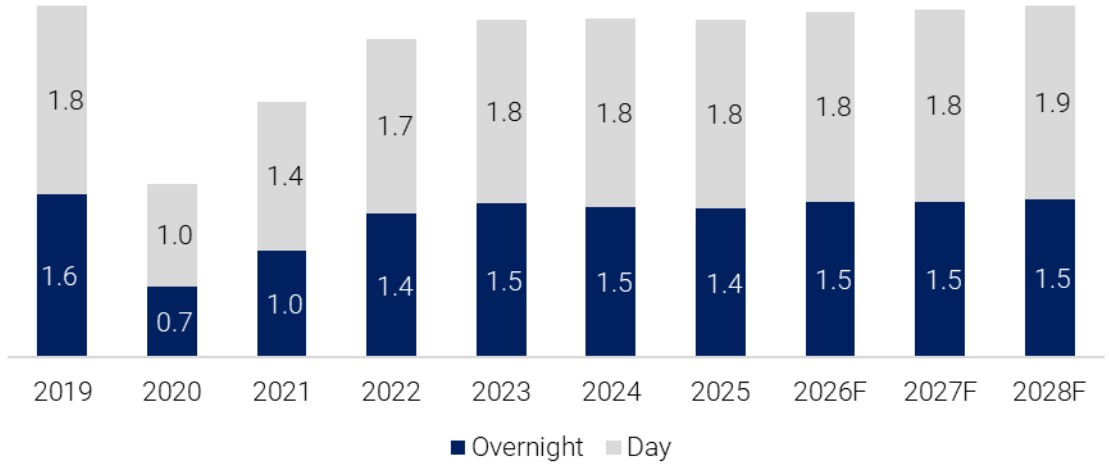
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Garden Grove Visitor Forecast

- Visitor volume is projected to reach 3.4 million by 2028, supported by steady gains across both the day and overnight segments. Overall visitation is expected to increase at an average annual rate of 1.4% between 2026 and 2028.
- Overnight visitation will be the primary driver of growth, expanding at an average rate of 1.9% per year over the forecast period.

Day vs. overnight visitors in Garden Grove

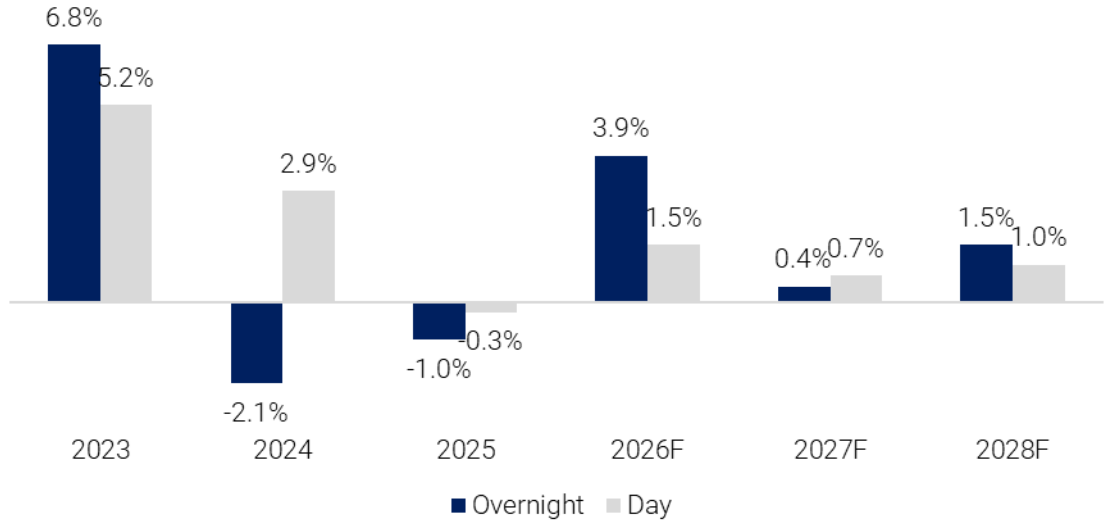
millions



Source: Tourism Economics

Percentage change in visitors to Garden Grove

year-over-year percent change



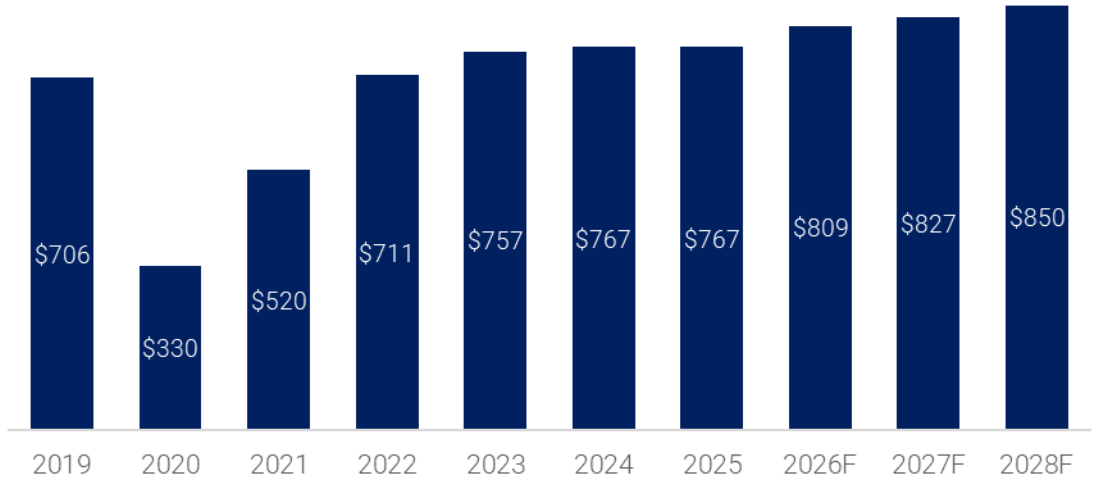
Source: Tourism Economics

Garden Grove Visitor Spending Forecast

- Visitor spending will average 3.5% growth annually over the forecast period, eclipsing $850 million in 2028.

Total visitor spending in Garden Grove

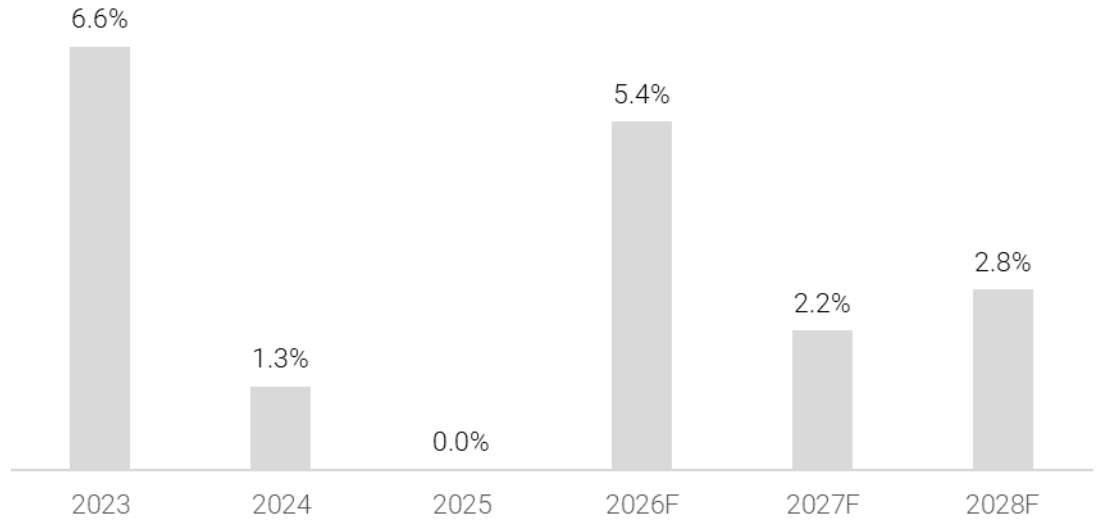
$ millions



Source: Tourism Economics

Percentage change in visitor spending in Garden Grove

year-over-year percent change



Source: Tourism Economics

Garden Grove Visitor Forecast

Total visitors to Garden Grove

millions

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Total visits	**3.38**	**1.67**	**2.46**	**3.06**	**3.24**	**3.26**	**3.24**	**3.32**	**3.34**	**3.38**
Day	1.80	0.98	1.43	1.67	1.76	1.81	1.80	1.83	1.84	1.86
Overnight	1.57	0.69	1.03	1.39	1.48	1.45	1.44	1.49	1.50	1.52
Total travel spending ($ millions)	**$705.8**	**$330.1**	**$520.2**	**$710.5**	**$757.4**	**$767.3**	**$767.4**	**$809.1**	**$826.8**	**$850.1**

Source: Tourism Economics

Total visitors to Garden Grove

year-over-year percent change

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Total visits		**-50.5%**	**47.3%**	**24.4%**	**5.9%**	**0.6%**	**-0.6%**	**2.6%**	**0.6%**	**1.2%**
Day		-45.5%	45.1%	17.1%	5.2%	2.9%	-0.3%	1.5%	0.7%	1.0%
Overnight		-56.3%	50.4%	34.5%	6.8%	-2.1%	-1.0%	3.9%	0.4%	1.5%
Total travel spending		**-53.2%**	**57.6%**	**36.6%**	**6.6%**	**1.3%**	**0.0%**	**5.4%**	**2.2%**	**2.8%**

Source: Tourism Economics

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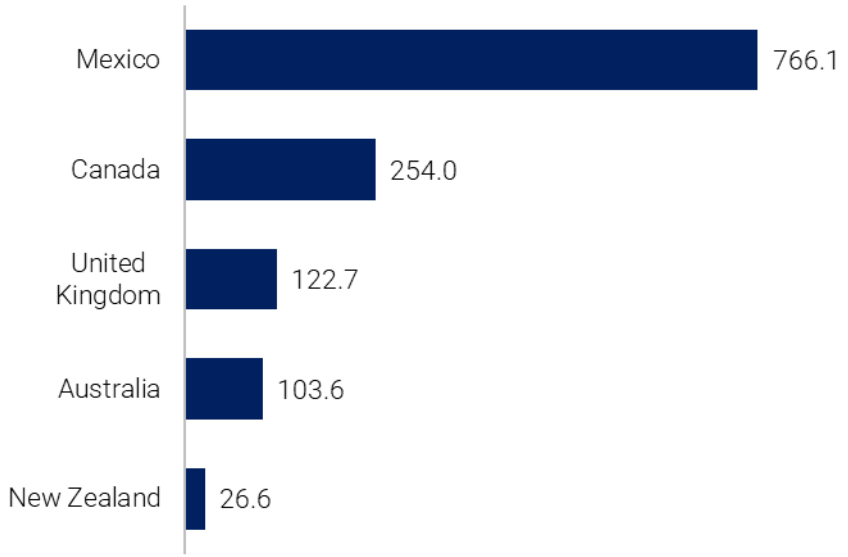
5 International Forecast Details

Anaheim and Garden Grove International Visitation

- 2.1 million international visitors spent $2.7 billion in Anaheim and Garden Grove in 2025. Visitors from Mexico accounted for the largest portion of this activity, constituting nearly 36% of all international visits. Outside of the below listed markets, the rest of the world represented 40.5% of international visits to the two cities and 58.2% of international spending.

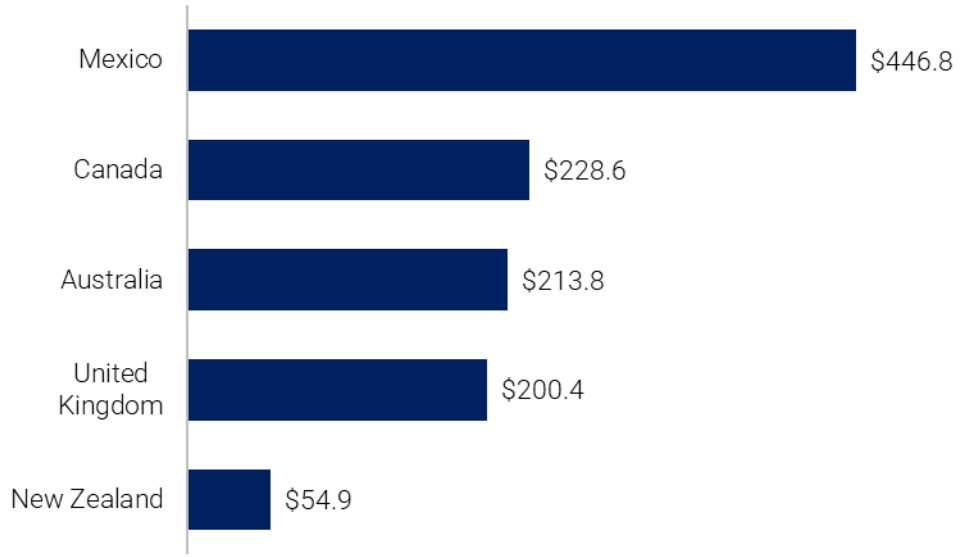
Anaheim and Garden Grove International Visitor Volume (2025)

thousands



Anaheim and Garden Grove International Visitor Spending (2025)

$ millions

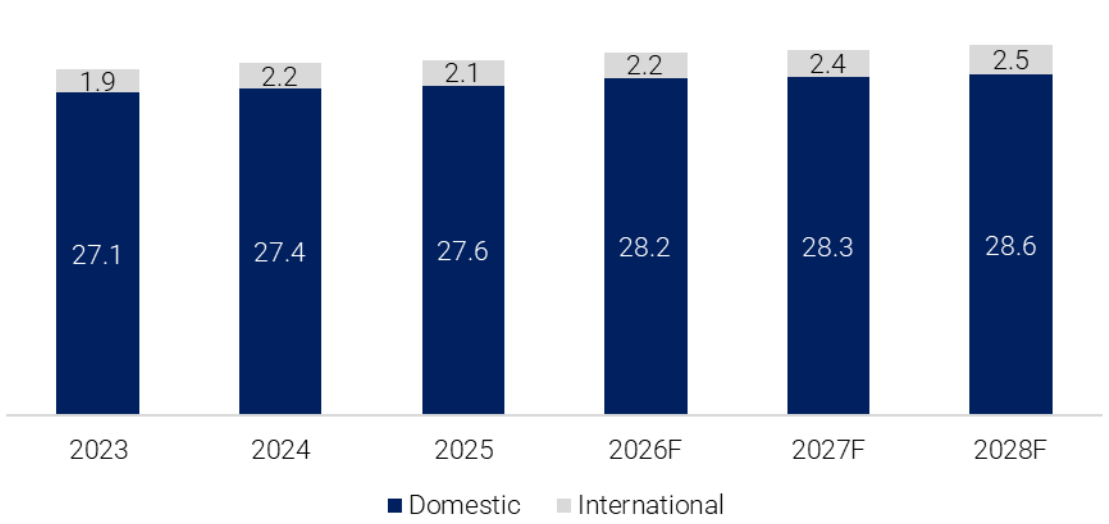


Anaheim and Garden Grove International Visitor Forecast

- International visitor volume is projected to reach 2.5 million by 2028, growing to 8.0% of total visitor volume in Anaheim and Garden Grove.
- International visitation will average 5.2% annual growth over the forecast period, outpacing the 1.1% annual average gains expected for domestic volumes.

Domestic vs. international visitors in Anaheim and Garden Grove

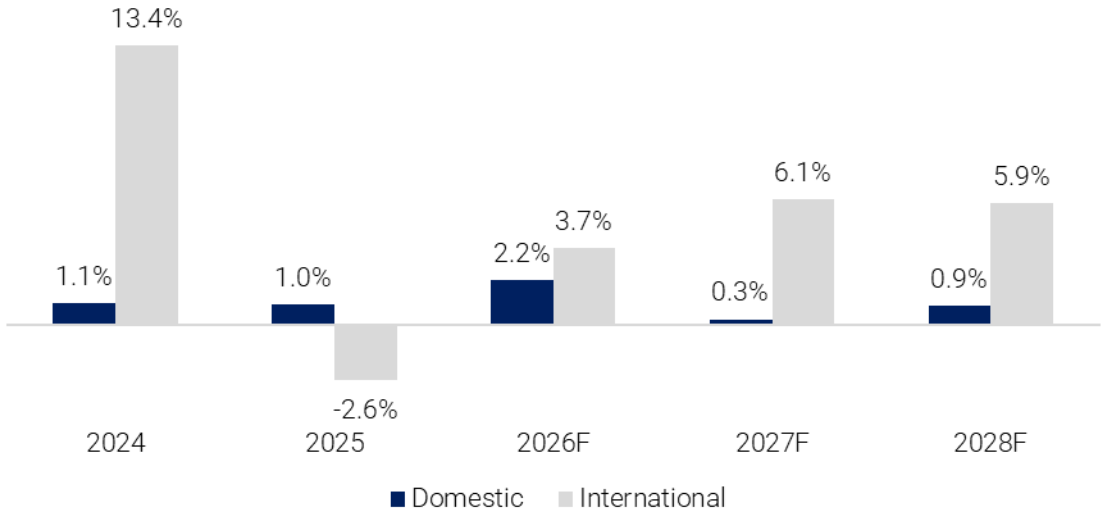
millions



Source: Tourism Economics

Percentage change in visitors to Anaheim and Garden Grove

year-over-year percent change



Source: Tourism Economics

Anaheim and Garden Grove International Visitor Forecast

Total international visitors to Anaheim and Garden Grove

	2023	2024	2025	2026	2027	2028
Total international visits	**1,936,130**	**2,195,805**	**2,137,945**	**2,217,392**	**2,351,609**	**2,489,669**
Mexico	649,699	729,324	766,116	787,594	810,426	832,598
Canada	343,128	323,380	254,038	263,916	278,564	290,111
United Kingdom	125,985	127,143	122,743	126,442	132,554	139,352
Australia	97,670	110,659	103,564	107,218	114,469	122,345
New Zealand	25,100	26,120	26,608	28,046	29,720	31,816
Rest of world	694,548	879,179	864,877	904,176	985,876	1,073,447
International hotel room nights	1,197,322	1,398,156	1,387,992	1,455,692	1,557,019	1,651,522

Source: Tourism Economics

Total international visitors to Anaheim and Garden Grove

year-over-year percent change

	2024	2025	2026	2027	2028
Total international visits	**13.4%**	**-2.6%**	**3.7%**	**6.1%**	**5.9%**
Mexico	12.3%	5.0%	2.8%	2.9%	2.7%
Canada	-5.8%	-21.4%	3.9%	5.6%	4.1%
United Kingdom	0.9%	-3.5%	3.0%	4.8%	5.1%
Australia	13.3%	-6.4%	3.5%	6.8%	6.9%
New Zealand	4.1%	1.9%	5.4%	6.0%	7.1%
Rest of world	26.6%	-1.6%	4.5%	9.0%	8.9%
International hotel room nights	16.8%	-0.7%	4.9%	7.0%	6.1%

Source: Tourism Economics

Total international visitor spending in Anaheim and Garden Grove

$ millions

	2023	2024	2025	2026	2027	2028
Total international spending	**$2,430.5**	**$2,821.9**	**$2,739.6**	**$2,964.7**	**$3,242.1**	**$3,555.5**
Mexico	$359.0	$418.9	$446.8	$480.9	$508.1	$537.1
Canada	$305.5	$288.9	$228.6	$246.3	$264.4	$281.4
Australia	$196.8	$225.1	$213.8	$234.0	$257.6	$285.9
United Kingdom	$198.7	$204.5	$200.4	$213.7	$229.5	$247.9
New Zealand	$50.6	$53.1	$54.9	$61.2	$66.9	$74.3
Rest of world	$1,320.0	$1,631.4	$1,595.1	$1,728.6	$1,915.7	$2,128.8

Source: Tourism Economics

Total international visitors to Anaheim and Garden Grove

year-over-year percent change

	2024	2025	2026	2027	2028
Total international spending	**16.1%**	**-2.9%**	**8.2%**	**9.4%**	**9.7%**
Mexico	16.7%	6.7%	7.6%	5.7%	5.7%
Canada	-5.4%	-20.9%	7.7%	7.4%	6.4%
Australia	14.4%	-5.0%	9.4%	10.1%	11.0%
United Kingdom	2.9%	-2.0%	6.7%	7.4%	8.1%
New Zealand	5.1%	3.4%	11.4%	9.3%	11.2%
Rest of world	23.6%	-2.2%	8.4%	10.8%	11.1%

Source: Tourism Economics

About the Research Team

This study was conducted by the Tourism Economics group within Oxford Economics. Tourism Economics combines an understanding of traveler dynamics with rigorous economics to answer the most important questions facing destinations, investors, and strategic planners. By combining quantitative methods with industry knowledge, Tourism Economics designs custom market strategies, destination recovery plans, forecasting models, policy analysis, and economic impact studies.

Oxford Economics was founded in 1981 as a commercial venture with Oxford University's business college to provide economic forecasting and modeling to UK companies and financial institutions expanding abroad. Since then, we have become one of the world's foremost independent global advisory firms, providing reports, forecasts and analytical tools on 200 countries, 100 industrial sectors and over 3,000 cities. Our best-of-class global economic and industry models and analytical tools give us an unparalleled ability to forecast external market trends and assess their economic, social and business impact.

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